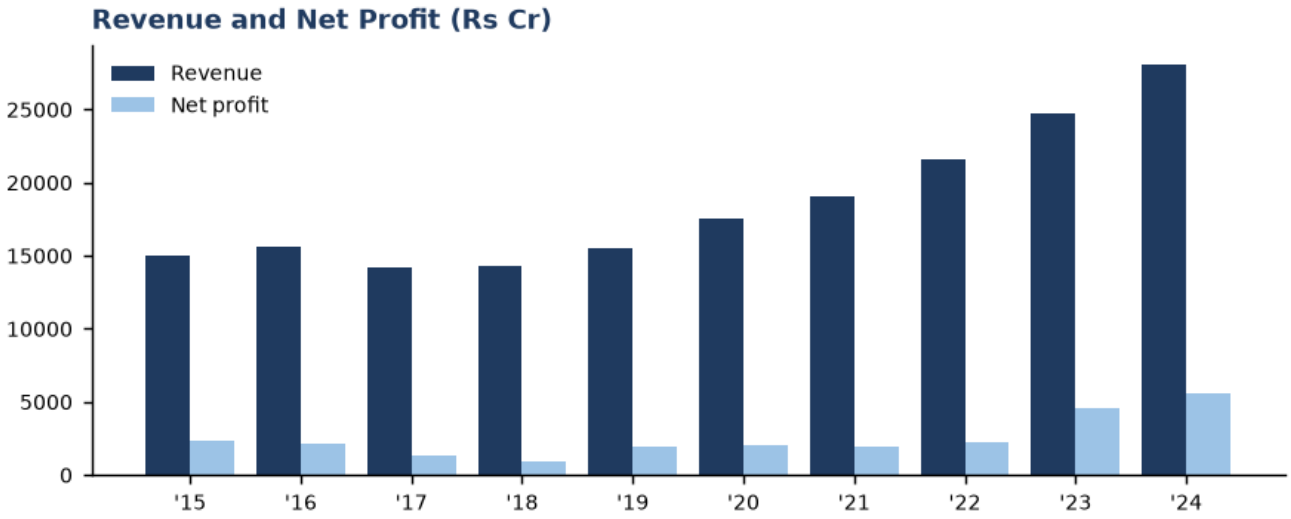
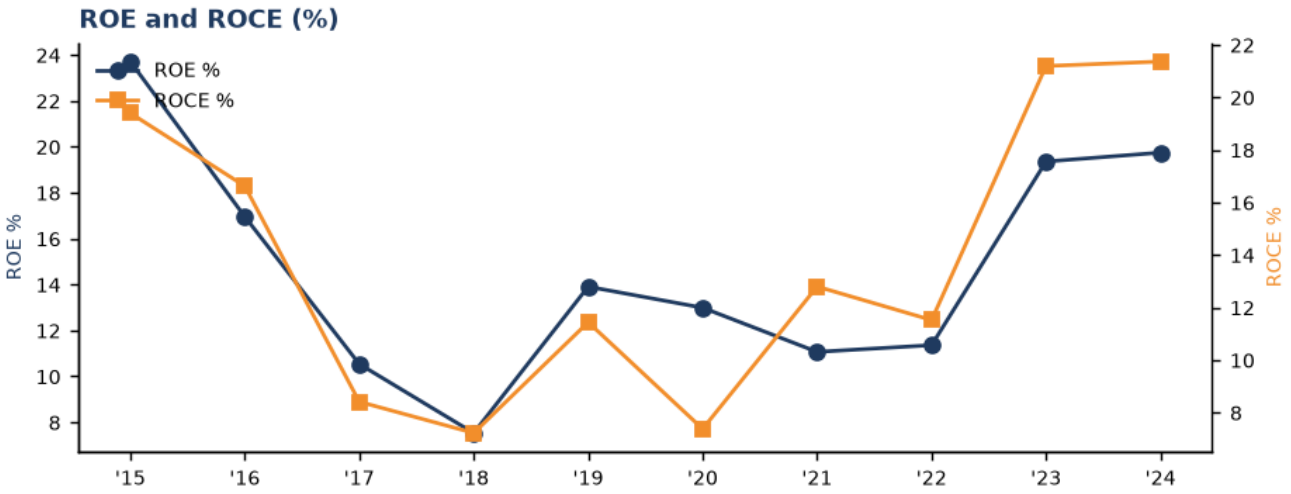
Dr Reddys Laboratories Ltd

DRREDDY | Healthcare | Pharmaceuticals | Latest financial year: 2024-03

ROE	ROCE	Net profit margin
19.7%	**21.4%**	**19.9%**

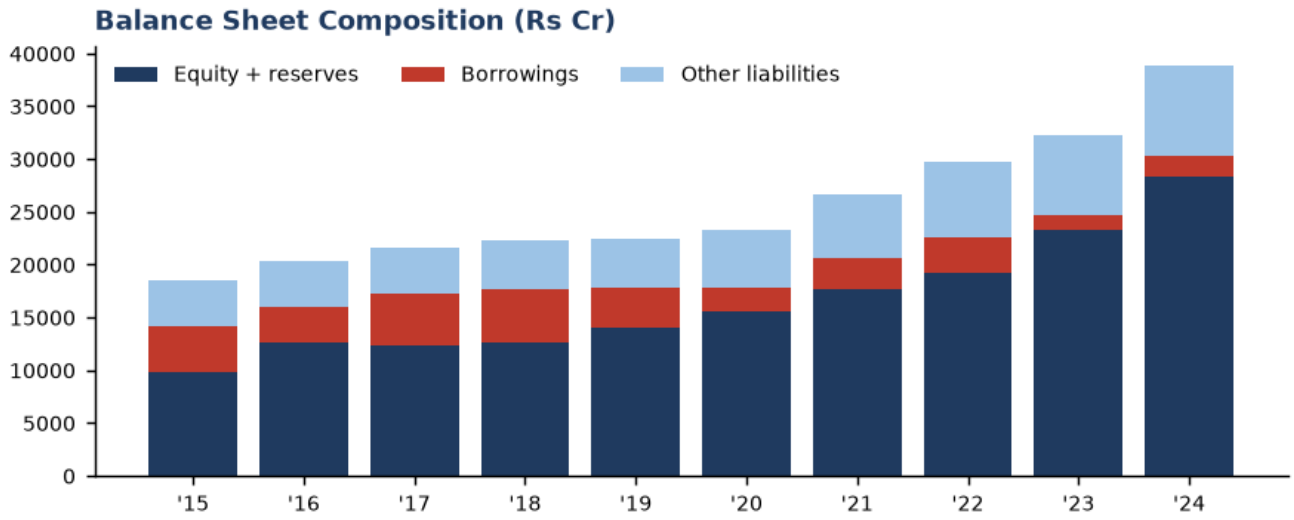
Debt / equity	Revenue CAGR 5yr	Free cash flow (Rs Cr)
0.07	**12.6%**	**509**

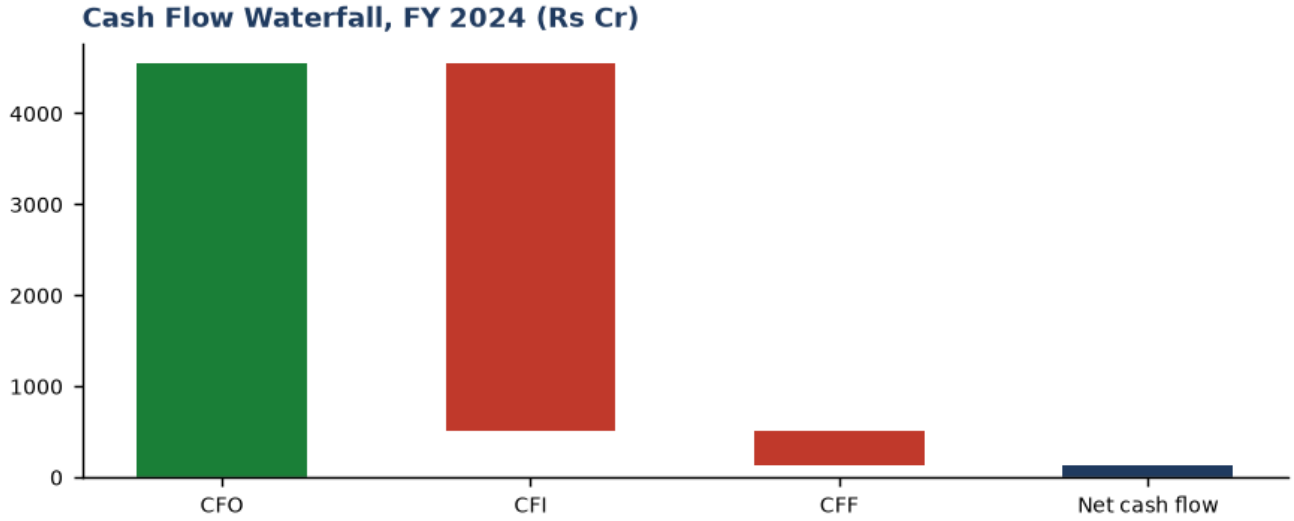




Dr Reddys Laboratories Ltd

DRREDDY | Balance sheet, cash flow and qualitative view





Key strengths and concerns (auto-generated, with confidence)

Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (100%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (95%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (84%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (77%)

Cons

- FCF margin of 1.8% ranks weaker than 100% of sector peers (100%)

Capital allocation: Reinvestor

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is simulated.